

This Business Once Conservatively Managed. In the first place a striking contrast may be drawn between the way in which the business of guaranteeing mortgages had been conducted prior to about 1924 and the lax methods which developed thereafter, during the very time that this part of the financial field was attaining its greatest importance.

If we consider the policies of the leading New York City institutions which guaranteed real estate mortgages (*e.g.*, Bond and Mortgage Guarantee Company, Lawyers Mortgage Company), it is fair to say that for many years the business was conservatively managed. The amount of each mortgage was limited to not more than 60% of the value, carefully determined; large individual mortgages were avoided; and a fair diversification of risk, from the standpoint of location, was attained. It is true that the guarantor companies were not independent of the selling companies, nor did they have other types of surety business. It is true also that the general practice of guaranteeing mortgages due only three to five years after their issuance contained the possibility, later realized, of a flood of maturing obligations at a most inconvenient time. Nevertheless, the prudent conduct of their activities had enabled them successfully to weather severe real estate depressions such as occurred in 1908 and 1921.

New and Less Conservative Practices Developed. The building boom which developed during the “new era” was marked by an enormous growth of the real estate mortgage business and of the practice of guaranteeing obligations of this kind. New people, new capital, and new methods entered the field. Several small local concerns which had been in the field for a long period were transformed into highly aggressive organizations doing a gigantic and nation-wide business. Great emphasis was laid upon the long record of success in the past, and the public was duly impressed—not realizing that the size, the methods, and the personnel were so changed that they were in fact dealing with a different institution. In a previous chapter we pointed out how recklessly unsound were the methods of financing real estate ventures during this period. The weakness of the mortgages themselves applied equally to the guarantees which were frequently attached thereto for an extra consideration. The guarantor companies were mere subsidiaries of the sellers of the bonds. Hence, when the crash came, the value of the properties, the real estate bond company, and the affiliated guarantor company all collapsed together.